

Grade 9 Investment Analysis

Chapter 1: What Is Investment Analysis, and What Is a Share?

Student companion textbook | Unit 1 Lesson 1 | Evidence before opinion

A first chapter for learning how to separate a company, its listed share, its share price, evidence, opinion and risk.

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Chapter 1: What Is Investment Analysis, and What Is a Share?

Learning Goals

By the end of this chapter, you should be able to:

- explain what investment analysis means
- separate a company from its products, its listed share and its share price
- define asset, share, share price and risk
- use the rule evidence before opinion
- ask one careful question about a share-price movement without giving investment advice

This course is about analysis. It is not a course about guessing which share will rise next, and it is not personal investment advice. You will learn how to look at a company, read evidence, ask better questions and make careful judgements.

1.1 The Course Rule: Evidence Before Opinion

People often talk about companies using quick opinions:

- "I know this brand, so it must be a good investment."
- "The price went up, so it is safe."
- "The company is famous, so the share must be strong."

These sentences may sound confident, but they are weak analysis. They start with opinion before checking evidence.

Investment analysis uses evidence to study possible return, risk and price before making a judgement.

In this course, the main rule is:

Evidence before opinion.

Evidence can include a source, a date, a company fact, a figure, a graph, a price, a risk note or a calculation. Evidence does not automatically prove that an investment is good. Evidence gives an analyst something more reliable to think with.

An analyst does not need to know everything before asking a good question. A good first step is often to slow down and ask:

- What company are we studying?
- What listed share are we looking at?
- What source gives this information?
- What date does the source come from?
- What can this evidence show?
- What can this evidence not prove by itself?

1.2 Tencent as a First Case

We will start with Tencent because many students already know something about the company. Tencent is connected with games, social apps, payments, cloud services and other digital businesses.

Knowing the company helps us begin. However, knowing the company is not the same as analysing the share.

The first distinction is important:

Idea	Meaning	Tencent Example
Company	The business organisation	Tencent Holdings Limited
Product or service	What the company sells or provides	games, social apps, payments, cloud services
Listed share	A tradable ownership unit in the company	0700.HK / HKEX 00700
Share price	The market price of one share at a specific time	one point on a share-price graph
Opinion	A personal view that may not yet have evidence	"Tencent must be a good investment"

A common beginner mistake is to move too quickly from company familiarity to investment judgement. For example:

Tencent is famous, so it must be a good investment.

This is not strong investment analysis. It does not identify a source, a price, a risk or a reason why the current price might be fair or unfair.

A better analyst sentence would be:

Tencent is a familiar company, but I need evidence about the listed share, the share price, company performance and risk before making a judgement.

This second sentence is stronger because it delays judgement until evidence has been checked.

1.3 Key Term: Investment Analysis

Investment analysis means using evidence to study possible return, risk and price before making a judgement.

Key term support:

Term	Chinese Support	Meaning
investment analysis	投资分析	using evidence to study return, risk and price before judgement
evidence	证据	source-dated information used to support a claim
judgement	判断	a careful conclusion after evidence is checked
personal investment advice	个人投资建议	advice about what one person should buy, sell or hold

Investment analysis is not the same as prediction. A prediction says what someone thinks will happen. Analysis explains what the evidence suggests and what is still uncertain.

Investment analysis is also not the same as personal advice. Personal advice depends on one person's money, age, goals, risk tolerance and situation. This classroom course does not tell anyone what to buy. It teaches how to think carefully about evidence.

1.4 Key Term: Asset

An asset is something owned that may have value.

Examples of assets include cash, a building, a machine, a brand, a bond or a share. In this course, we will mainly study listed shares and funds because they give us clear public evidence: company names, share prices, financial reports, graphs and source dates.

Two words in the asset definition matter:

- Owned: someone has a claim to it.
- May have value: the value can change and is not guaranteed.

A share is one type of asset. It can have value, but that value can rise or fall.

1.5 Key Term: Share

A share is one unit of ownership in a company.

This definition is short, but students often misunderstand it. Owning one share does not usually mean:

- owning the whole company
- controlling the company
- owning the company's products
- receiving guaranteed profit

It means owning one unit of ownership. The details of shareholder rights and control come later in the course. For now, remember the simple definition:

A share is one ownership unit in a company.

Tencent the company is not the same as one Tencent share. The company has employees, products, customers, managers, buildings, software, brands and costs. A listed share is an ownership unit that can be bought and sold in a market.

1.6 Key Term: Share Price

A share price is the market price of one share at a specific time.

This definition also needs careful reading.

The share price is not the total value of the whole company. It is the price of one share.

The share price is not revenue. Revenue is money earned from sales before costs are deducted.

The share price is not profit. Profit is what remains after costs are deducted, depending on the type of profit being measured.

The share price is a market price. It shows what buyers and sellers were willing to pay for one share at a point in time.

When we look at a share-price graph, each point on the line shows the price of one share at a particular date. In Lesson 1, the Tencent graph is a frozen classroom source, not a live trading screen. That matters because a source date tells us when the information was collected.

1.7 First Graph Observation

A share-price graph is useful evidence, but it is not a complete investment judgement.

Look at a graph carefully before calculating anything. In this first lesson, you do not need a percentage-change formula. You only need to observe and ask a careful question.

Useful first observations include:

- Does the line stay flat?
- Does the line rise steadily?
- Does the line fall steadily?
- Does the line move up and down?
- Where are the high and low points?
- What is the latest point in this source?

After observing, an analyst should ask about missing information. For example:

What information might explain one movement in Tencent's share-price graph?

This is better than immediately saying:

Tencent is a good investment because the graph moved up.

or:

Tencent is a bad investment because the graph moved down.

A graph shows movement. It does not explain every reason for the movement by itself. To explain a movement, an analyst may need information about company performance, investor expectations, news, regulation, competition, interest rates, exchange rates or wider market mood.

1.8 One Company Fact Is Not a Judgement

Company figures are useful, but one figure alone does not prove that a share is a good investment.

For example, Tencent's FY2025 results can give classroom evidence such as revenue, gross profit and gross margin. These figures help analysts ask better questions about business performance. However, one company figure cannot prove a complete investment judgement by itself.

Here is the habit to practise:

Evidence	What it may show	What it cannot prove alone
Share-price graph	how one share price moved over time	whether the share is good value
Revenue	the scale of sales before costs	whether the company is profitable after all costs
Gross profit	profit after direct costs	whether all business costs are controlled
Gross margin	how much gross profit is made from revenue	whether the current share price is fair
Risk note	what could go worse than expected	the exact future result

Investment analysis becomes stronger when students can say both sides:

- This evidence may show...
- This evidence cannot prove alone...

That second sentence is important. It prevents overclaiming.

1.9 Key Term: Risk

Risk is the possibility that results, returns or prices are worse than expected.

Risk does not mean that something bad will definitely happen. It means there is uncertainty, and the result may disappoint.

In this course, risk can appear in different ways:

- A company may earn less profit than expected.
- A share price may fall.
- A currency movement may reduce returns for some investors.
- New rules may affect future profit.
- Customers may change their behaviour.
- Competition may become stronger.
- A good company may already be too expensive at the current price.

For Lesson 1, keep the idea simple:

A judgement is weak if it ignores risk.

1.10 How an Analyst Thinks

By the end of the first chapter, you should have a basic analyst habit:

1. Start with the company.
2. Identify the listed share.
3. Read source-dated evidence.
4. Ask about price and risk before judging.

This habit will return throughout the course. Later lessons will add exchanges, quote pages, revenue, costs, margins, cash flow, dividends, market capitalisation, earnings per share, P/E ratios, funds and different types of risk.

For now, the important point is the order of thinking.

Weak order:

1. I know the company.
2. I like the company.
3. Therefore, the share is a good investment.

Stronger order:

1. I identify the company and listed share.
2. I check source-dated evidence.
3. I separate company facts from share-price evidence.
4. I ask what the evidence can and cannot prove.
5. I consider risk before making a judgement.

Worked Example

Read the statement:

Tencent must be a good investment because many students know the brand.

This is a weak opinion. It uses familiarity as the main reason. It does not include a source, a price, a risk or a limit.

Improved version:

Tencent is a familiar company, but familiarity alone does not prove that its listed share is a good investment. An analyst needs source-dated evidence about the share price, company performance and risk before making a judgement.

Why is the improved version stronger?

- It separates the company from the listed share.
- It avoids personal advice.
- It names evidence.
- It includes risk.
- It does not overclaim.

Practice 1: Sort the Statements

Sort each statement into one category: company fact, product or service, listed share, share price, evidence rule or weak opinion.

Statement	Category
Tencent makes games, social apps and payment services.	

Statement	Category
0700.HK is a listed share that can be found in market data.	
HK\$429.80 is one graph point in the frozen classroom source.	
Tencent must be a good investment because I know the brand.	
Investors need evidence about return, risk and price.	

Practice 2: Complete the Definitions

Fill in each blank.

- Investment analysis uses _____ before opinion.
- An asset is something owned that may have _____.
- A share is one unit of _____ in a company.
- A share price is the market price of one _____ at a specific time.
- Risk is the possibility that results are worse than _____.

Practice 3: Graph Observation

Use the Tencent share-price graph from the lesson.

- Does the line stay flat, rise steadily, fall steadily or move up and down?
- What does each point on the line measure?
- Write one question about missing information that might explain one movement in the graph.

Sentence starter:

One movement I notice is _____. To understand it better, I would need evidence about _____.

Practice 4: Evidence and Limits

Complete the table.

Evidence	What it may show	What it cannot prove alone
Share-price graph	how one share price moved over time	
Revenue	large sales before costs are deducted	
Risk note	something that could go worse than expected	

Practice 5: Improve a Weak Opinion

Weak opinion:

Tencent is famous, so it is a good investment.

Rewrite the sentence so that it follows the course rule evidence before opinion.

Your improved sentence should include:

- company
- listed share or share price
- evidence
- risk

- no personal investment advice

Chapter Review

Key ideas to remember:

- Investment analysis uses evidence before opinion.
- A company is not the same as its products, its listed share or its share price.
- A share is one ownership unit in a company.
- A share price is the market price of one share at a specific time.
- A graph is evidence, not a complete judgement.
- A famous company is not automatically a good investment.
- Risk means results, returns or prices may be worse than expected.
- Strong analysis says what evidence can show and what it cannot prove alone.

Exit Ticket

Answer in one paragraph:

Why does investment analysis need evidence before opinion?

Use at least three of these words:

- company
- share
- share price
- evidence
- risk
- opinion

Source Note

Classroom sources for this chapter include Tencent investor relations, Yahoo Finance historical monthly prices for 0700.HK accessed on 2 July 2026, and Tencent 2025 annual and fourth quarter results published on 18 March 2026 and accessed on 26 June 2026. This chapter is for educational use only and does not provide personal investment recommendations.